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Globally, we are in a situation where the big boys are being saved. It is turning out to be a crisis for small and medium enterprises.

We need a landmark Budget. There are no polls, no excuses. Fix the fiscal, phase out subsidies, spend on Bharat Nirman.”

SUMAN K. BERY,
Director-General, NCAER

structure capacity or agricultural productivity. So the implementation of NREGA must be done along with the implementation of Bharat Nirman. Reviewed and better implemented, both of these involve rural connectivity, that is rural costs, that is rural productivity. And the third thing that the Government must do at the moment is withdraw the tax cuts and fix it at 12 per cent, because GST would also come in at 12. Three things what the Government must not do is 1) let interest rates keep rising and no signal should be given that the cost of capital will be increased; 2) the Government should not let revenue deficit increase at all; 3) on trade, the Government must not bow down under protectionist pressures which are beginning to show their heads.

Bery: If we are talking about the run-up to the Budget, this ought to be a landmark structural budget. There is no election for another year; they have no excuses. On the macro, we need to have an aggressive adjustment on the primary that is in terms of the aggregate fiscal architecture. That would then allow the RBI room to say, 'As long as the Government stays on that path, we are committed to not tightening monetary policy.' Second, the big focus they ought to be trying is assemble all the information that they can on how wasteful the present subsidy—on petrol, LPG and maybe on diesel—is and who it is going to. This is a middle-class subsidy and restricted only to kerosene with some kind of a phase-out. On the structural side there should be no let-up in spending on Bharat Nirman. On the monetary financial side, we should say boldly

that we need capital coming into this country, that we are not going to impose capital control and that we are prepared to accept a greater degree of exchange flexibility than before. Finally, all of this pressure coming from the Finance Ministry for bank consolidation is pointless. So I would have said that it is time to shift track and say what we need is a more competitive banking system and say that we are going to be looking at new private sector bank licences.

IS PROFLIGACY A STIMULUS?

Is the allocated spend of over Rs 1,00,000 crore on schemes stimulating economy?

Aiyar: India will spend close to Rs 1,00,000 crore on the Centrally-sponsored flagship schemes. It may not be reaching the right people, but is it a stimulus?

Debroy: Rahul Gandhi said something to that effect, so what if there is a leakage; at least it is leaking now in the rural areas, it is not leaking in Delhi. And in some way there is a grain of truth in that. So of course it is a stimulus. The question is all resources have opportunity cost. So what would have been the stimulus had these resources been spent somewhere else? And the more important question is the efficiency of this. And two quick points I want to flag, one is that we need to somewhere down the line unify these multiple channels that we have got for Centre-state transfers, there is the Finance Commission, there is the Planning Commission and within the Planning Commission we have got the Centrally-sponsored schemes, the Central sector schemes and there is complete lack of accountability and transparency. So all of this needs to be unified. The Finance Commission should probably go back to what it was before Indira Gandhi diluted it and it should be the single channel for all transfers. The second issue is related to decentralisation. And for God's sake when Rajiv Gandhi said only 15 per cent reaches, the rest is not leakage, it is high administrative cost. Why should this money go to the Ministry of Rural Development? It does offer a stimulus, but there are far more efficient ways of giving an even greater, to use your favourite expression, bang for the buck.

Kumar: I have just been to China and its household consumption is 37 per cent of GDP. What I heard there was that they trans-



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